

MARSDEN AUDIO LABORATORIES, INC. —LICENSING**Royalty attribution —family MAL-JP-2010-0392 —calendar years 2019 to 2024**

Prepared: November 15, 2024 · R. Vantassel / L. Speerman

Methodology: Vantage program agreement, Exhibit 7 (attribution by mandatory feature set, unchanged since 2016)

Currency: USD. Yen conversion at ¥150.00 per USD, the rate used for reserves.

1. Attribution by year

Year	Vantage decoder royalties, all families	Attributed to MAL-JP-2010-0392	Share
2019	41,860,000	7,200,000	17.2%
2020	45,140,000	7,900,000	17.5%
2021	48,590,000	8,600,000	17.7%
2022	50,560,000	9,100,000	18.0%
2023	54,350,000	10,000,000	18.4%
2024 (10 months annualized)	56,680,000	10,600,000	18.7%
Total 2019–2024	297,180,000	53,400,000	18.0%

Six-year average attributed to the family: **8,900,000 per year.**

2. Attribution by licensee, 2019–2024

#	Licensee	Territory of principal manufacture	Attributed royalties
1	Aurelian Home Entertainment Inc.	US / MX	8,940,000
2	Kestrelwood Devices Ltd.	VN	7,610,000
3	Norsholm AB	SE / PL	6,220,000
4	Tanvir Audio Systems Pvt. Ltd.	IN	5,480,000
5	Grantwell Displays Corp.	TW	4,930,000
6	Meridiana Elettronica S.p.A.	IT	4,150,000
7	Baekhwa Electronics Co., Ltd.	KR	3,870,000
8	Voltaine SA	FR / TN	3,240,000
9	Pemberly Sound Ltd.	GB / CN	2,610,000
10	Hausmann Akustik GmbH	DE	2,180,000

#	Licensee	Territory of principal manufacture	Attributed royalties
11	Cabrillo Media Devices LLC	US	1,540,000
12	Ferndale Broadcast Systems Inc.	CA	1,120,000
13	Okimura Denshi K.K.	JP	880,000
14	Straadt Digital A/S	DK	630,000
	Total		53,400,000

3. The figure in the November 12 letter

Fifty per cent of 53,400,000 is **26,700,000**. At ¥150.00 per USD that is **¥4,005,000,000**, which is the figure in paragraph 4.2 of the Shinonome Device Solutions letter to the yen. Their arithmetic is our arithmetic, and it would be: Exhibit 7 has been an exhibit to the program agreement since 2016 and was provided to Shinonome Electric as a program participant.

4. Forward exposure

The earliest expiry in the family is **August 17, 2031**, twenty years from the international filing date. From January 1, 2025 that is **6.6 years**. At the six-year average of 8,900,000 per year, with no growth assumed:

$6.6 \times 8,900,000 = 58,740,000$, say USD 58,700,000.

This is a floor, not a range. It assumes no growth against six years of uninterrupted growth, and it treats the family as severable from the Vantage decoder specification, which it is not: all fourteen agreements are written against the specification as a whole, and a defect in one mandatory feature set is not a pro-rata problem for a licensee that has to ship a conformant decoder.

5. What a co-owner could do, by jurisdiction

Jurisdiction	Work the invention itself	Grant a non-exclusive license without our consent	Block enforcement
United States	Yes — 35 U.S.C. 262, no accounting	Yes — Schering v. Roussel-UCLAF; Ethicon	Yes — Ethicon; STC.UNM v. Intel (2014): substantive right, defeats Rule 19(a) involuntary joinder
Japan	Yes — Patent Act Art. 73(2)	No — Art. 73(3), consent of all required	Not as such; but Art. 123(1)(ii) invalidation, no time limit

Jurisdiction	Work the invention itself	Grant a non-exclusive license without our consent	Block enforcement
Korea	Yes — Patent Act Art. 99(3)	No — Art. 99(4), consent of all required	Art. 44 breach is an invalidity ground
China	Yes — Patent Law Art. 14	Yes — Art. 14, non-exclusive only, royalties to be shared	Title action in the People's Court
Germany / EP	Yes — §§ 741 ff. BGB; BGH <i>Gummielastische Masse II</i>	No — prevailing view requires consent of all	—

The United States and China are the exposure. The accounting demand is not.